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Intuitive Surgical (ISRG)
Best-in-Class Franchise at a Full Price

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A best-in-class surgical robotics franchise whose installed-base economics support a **Sell** rating and a $285 headline target, 33% below the current price.

SELL	$285	−33%	$426.42
INVESTMENT RATING	BLENDED TARGET	BLENDED DOWNSIDE	REFERENCE PRICE

Recurring instruments and accessories, now the majority of revenue, compound with the installed base and convert 96% of net income into free cash flow. The business is exceptional; the price is not.

The installed base is the compounder

Intuitive closed 2025 with **$10.06B in revenue, up 20.5%**, and **$2.88B in net income at a 28.6% net margin**. The company estimates about 9 million annual procedures are already addressable with current products and clearances, with roughly 20 million more as candidates for minimally invasive robotic surgery over time. Aging demographics across the United States, Europe and Asia should keep procedure volumes growing for years.

The mix is the margin story: as the installed base matures, high-margin recurring revenue from instruments and accessories becomes a larger share of sales, expanding net margins from 28.6% toward 31% to 35% by 2031. Free cash flow runs at roughly 96% of net income, and the balance sheet carries net cash of about $3.1B.

$426.42	$10.06B	$2.88B	28.6%	~$144B	Sep. 29 2026
REF. PRICE	2025 REVENUE	2025 NET INCOME	NET MARGIN	MARKET CAP	REF. CLOSE

Near-term trajectory: growth intact, multiple compressed

The stock has fallen about 27% year to date and sits roughly 32% below its 52-week high of $603.88, yet still trades near 46 times trailing earnings. The selloff reflects multiple compression rather than broken fundamentals: revenue grew more than 20% in 2025 and Wall Street still rates the shares a consensus Moderate Buy. We see further derating ahead as the 10-year yield at 5.25% lifts our CAPM discount rate to about 10.6% and compresses every scenario target.

The near-monopoly is ending

Intuitive Surgical has enjoyed a near-monopoly in soft-tissue surgical robotics for two decades. **Medtronic's** Hugo system won FDA clearance in December 2025 and pairs modular arm carts with the Touch Surgery AI platform. **CMR Surgical's** Versius Plus, cleared the same month, brings a modular, lower-cost platform aimed squarely at price-sensitive hospitals. **Johnson & Johnson** continues to deploy its considerable resources across surgical robotics and digital surgery.

The pressure is not only direct. Stryker (Mako), Globus Medical (ExcelsiusGPS) and Zimmer Biomet (ROSA) are absorbing hospital capital budgets, while venture funding backs entrants such as Distalmotion and Medical Microinstruments. Increasingly, the contest is for hospitals with no robot at all, not Intuitive's installed base.

Three scenarios make the valuation range explicit

The DCF compounds 2025 revenue at 11.0% to 13.5% through 2031 across the three paths, with terminal value set on 2031 free cash flow.

SCENARIO	WEIGHT	2026–31 CAGR	2031 REVENUE	2031 FCF/SHARE	TARGET	UPSIDE
Bear (Conservative)	25%	11.0%	$18.8B	$15.22	**$198**	−54%
Base	50%	12.2%	$20.1B	$17.46	**$287**	−33%
Bull	25%	13.5%	$21.5B	$19.67	**$368**	−14%

Bear: Hospital capital spending tightens and competition intensifies; growth slows to 11% and margins stall near 31%.

Base: Procedure growth and international adoption compound revenue at 12.2% with margins reaching 32.9%.

Bull: Faster platform rollouts and share gains drive 13.5% growth with margins expanding to 34.6%.

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The probability-blended target implies 33% downside

Blended target: $285 per share

A 25% Bear / 50% Base / 25% Bull weighting implies 33% downside from the reference price of $426.42. Even the Bull case sits 14% below the market.

$285
BLENDED TARGET

Recurring revenue supports the cash flow, not the current multiple

The valuation uses a discounted cash flow model covering 2026–2031. Revenue compounds from the $10.06B 2025 base at scenario-specific rates through 2031. Net margins expand linearly to 30.6% / 32.9% / 34.6% by 2031 as recurring instruments and accessories take a larger mix share, and free cash flow is modeled at 96% of net income throughout.

The terminal value averages a Gordon perpetuity (3.25% growth) with an EV-to-FCF exit multiple (20x / 33.5x / 42.5x), still below today's roughly 59x price-to-FCF.

2025 revenue base	**$10.06B**
Valuation horizon	**2026–2031**
Live WACC (Sep. 2026)	**~10.6%**
Terminal growth	**3.25%**
Net debt	**-$3.07B (net cash)**
2031 FCF/share (Base, diluted)	**$17.46**

Why the exit multiples stay premium, and what threatens them

We use premium exit multiples because ISRG has historically traded at 40x free cash flow or more, a premium earned by a two-decade near-monopoly, high-margin recurring revenue, and a zero-debt balance sheet. The Base 33.5x and Bull 42.5x exits stay below today's roughly 59x price-to-FCF. And even granting those premium exits, the stock still screens too rich: every scenario prices below the market, with the blended $285 target implying 33% downside.

The caveat is the competitive picture on page one. The near-monopoly is ending: Hugo and Versius Plus both won FDA clearance in December 2025, Johnson & Johnson keeps investing across robotics and digital surgery, orthopedic and spine robots absorb the same hospital capital budgets, and venture funding is seeding entrants aimed at hospitals with no robot at all. If that pressure erodes pricing power, the exit multiple is the first assumption to break, which is why the Bear case holds a 20x exit.

The wartime bond market explains the discount rate

In our view, the 10-year Treasury yield at 5.25% reflects wartime fiscal pressure from the Iran war. The model keeps the live market-implied discount rate of about 10.6% rather than normalizing it away.

Our usual through-cycle inputs, roughly a 4.0% 10-year yield and a 1.20 beta, would give a WACC near 9.2%. The same cash flows at 9.2% imply a blended target near $350, still 18% below the market, so the Sell rating does not hinge on the wartime rate alone.

Mechanics are explicit

The model divides equity value by 2031 diluted shares: 354.5M growing at 0.4% per year to about 363.1M, a conservative allowance for stock-based compensation net of buybacks. Enterprise value converts to equity value after **negative $3.07B of net debt** (net cash adds to equity value). The 2031 free-cash-flow-per-share cross-checks read **$15.22 / $17.46 / $19.67** across Bear / Base / Bull.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield via GOOGLEFINANCE plus beta × equity risk premium: beta 1.48 and a 3.63% ERP give roughly 10.6% WACC at a 5.25% yield. Terminal growth is 3.25% and exit EV/FCF multiples are 20x / 33.5x / 42.5x; the $285 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The bear case

Valuation vulnerability
Near 46x trailing earnings and roughly 59x price-to-FCF price in perfection. Any deceleration in procedure growth, placements, or gross margin triggers multiple contraction, and long-duration growth suffers most when the cost of capital is elevated.

Hospital capex constraints
Tight operating margins and elevated labor costs lengthen da Vinci 5 sales cycles. More operating leases and trade-in structures support placements but defer cash realization and compress near-term free cash flow margins.

GLP-1 headwind
Anti-obesity drugs are directly cutting bariatric surgical volumes, with longer-term risk to obesity-linked procedure volumes across cardiovascular, joint, and gastrointestinal interventions.

Escalating competition
Hugo (Medtronic) and Versius Plus (CMR Surgical) won FDA clearance in December 2025; Johnson & Johnson's Ottava is advancing. Modular, lower-cost platforms give hospitals leverage to negotiate system, instrument, and service pricing.

Saturation math
Past $10B in annual revenue, double-digit growth gets mathematically harder. Core U.S. prostatectomy and hysterectomy volumes are largely penetrated; incremental growth leans on lower-margin international markets and complex, lower-volume procedures.

International friction
China's healthcare anti-corruption campaign, procurement quotas, and preference for domestic robotics makers create structural headwinds; European and Asian single-payer systems reimburse robotic surgery more restrictively than U.S. private insurance.

The strengths

Recurring revenue engine
Instruments and accessories are the majority of revenue and compound with the installed base. Growth is utilization-driven rather than placement-driven, which smooths cyclicality.

Procedure runway
About 9 million annual procedures are addressable with current products and clearances, with roughly 20 million more candidates for robotic minimally invasive surgery; aging demographics support volumes for years.

Cash conversion
Roughly 96% of net income converts to free cash flow, on a zero-debt balance sheet carrying about $3.1B in net cash.

Margin expansion
Mix shift toward recurring revenue lifts net margins from 28.6% toward 31% to 35% by 2031, funding R&D while the installed base does the compounding.

The franchise deserves a premium; this is not the price for it

Investment view: Sell. The $285 blended target implies 33% downside, balancing the $198 / $287 / $368 Bear / Base / Bull outcomes.

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